Revision Date:
August 1, 2025

Background:
In most cases CalWORKs customers are required to sign over child and spousal support rights to the County while receiving cash aid, which usually means that child support collected is used to repay the customer's cash aid. The customer will receive a pass-through, up to the maximum amount, per month in support, which will not count against the CalWORKs grant. Effective November 1, 2018, CalWORKs customers will have the option to exclude the needs of stepsiblings and half siblings, who are receiving child support payments, from the Assistance Unit (AU) and keep the support payments.

Definitions
- Child Support Pass-Through: Refers to the assigned support collection (applied to either current support or arrearages) that the State elects to pay to the family rather than retain to reimburse assistance
- Child Support Disregard: Refers to the amount of pass-through that is disregarded when determining eligibility for and the amount of assistance
- Arrears: Refers to the unpaid support payments for past periods owed by a parent who is obligated to pay by court order.

Purpose:
This section is being revised to incorporate Assembly Bill (AB) 207 provisions. Effective July 1, 2024, all support payments for safety net and child only AU's (families aided under the K1 or 3F aid codes) must be exempt from consideration as income and resources for purposes of determining CalWORKs eligibility and grant amount while the family is receiving aid. All support including direct support payments already being received by any family receiving aid under the K1 or 3F aid codes will be exempt from when determining CalWORKs income eligibility and calculating the grant. Additionally, any amount of child support collected by the Local Child Support Agency (LCSA) for former CalWORKs customers must be passed through to that family by the LCSA.

The provisions of AB 207 further state that the LCSA must pass through any amount of collected child support arrears to former CalWORKs customers and current K1/3F families for any period in which the family received CalWORKs under a non-K1/3F aid code and was referred to the LCSA.

Policy:
The total number of children in the Assistance Unit (AU) will be taken into account when determining the family's eligibility for pass-through amounts. Starting January 1, 2022, the child support pass-through provided to the customer is defined as follows: the first $100 collected for families with one child, and the first $200 collected for families with two or more children. Additionally, these pass-through amounts will be disregarded when evaluating CalWORKs eligibility and grant calculations.

Example One
A parent with one child applies for cash aid and the county opens a child support case. A monthly child support order for $500 is established. $500 is collected from the obligor the Non-Custodial Parent or (NCP) the next month for child support. The first $100 is passed through to the family, and

this amount is also disregarded as income. The remaining $400 will be used to repay aid paid through the CalWORKs program.

Example Two
A parent with four children applies for cash aid and the county opens a child support case. A monthly child support order for $600 is established. $600 is collected from the NCP the following month. The first $200 of child support collected is passed through to the family and this amount is also disregarded as income. The remaining $400 will be used to repay aid paid through the CalWORKs program.

A family with at least one child participating in the Senate Bill (SB) 380 Child Support in Lieu of CalWORKs Grant Option (CalWORKs Program Guide (CPG) 44-300.H) would qualify for the $200 disregard because that AU would always have more than one child in the AU, as an SB 380 child must reside with an eligible child.

Example One
Child One is aided. Child Two is eligible under SB 380. Child Two is still considered to be an AU member, so they are included in the number of children in the AU or "family." Since there are two total children in the AU, the number of children used to determine the child support disregard would be two children. Therefore, the Custodial Parent (CP) or caretaker relative receiving child support for Child One would receive up to a $200 child support pass-through for each month child support was collected, and this amount would also be disregarded as income when determining eligibility and grant amount for the CalWORKs AU.

Example Two
Child One is aided. Child Two is receiving Supplemental Security Income/State Supplementary Payment (SSI/SSP) and therefore excluded from the AU, as well as from the determination of the amount of child support passed through to the family. This family would be eligible for up to $100 of any child support collected on behalf of Child One and a full pass-through of any child support collected on behalf of Child Two. Any income, including child support for an SSI/SSP child is for the needs and maintenance of that child and not counted against the AU's grant.

State Disbursement Unit (SDU)
The SDU located in Sacramento is a central processing site responsible for collecting and distributing all child support payments statewide. The SDU is responsible for:
- Receiving child support payments statewide from NCPs
- Receiving child support payments forwarded from the LCSA, when payments are hand-delivered to the LCSA
- Processing child support collections for distribution
- Disbursing child support payments to counties to repay cash aid
- Disbursing child support payments to CPs when applicable
- Disbursing disregard payments

All child support orders will be known to the SDU. If an NCP has multiple support obligations, child support collections may be split among multiple households and/or multiple counties.

Example
Two CalWORKs aided children are in separate counties. The court order obligates the NCP to pay $250 to each child. The NCP is paying only $250 to the SDU for one child. The $250 would be split between counties and each CP will receive a $100 Child Support Disregard.
In rare situations when the child support disregard payment is split, the disregard payment could be less than $100.

Issuance of Payments
The SDU is responsible for sending child support payments each month to CalWORKs families. These payments include:

- Child and Spousal Support Disregards:
  - Customers are entitled to receive up to the allowable disregard amount of their monthly collected child support, if it is paid in the month due. The disregard amount does not count against the CalWORKs grant. If no child support is collected in the month, a disregard payment will not be issued. The maximum disregard payment issued in one month is as follows (even when collected from two or more absent parents, or when arrearages and current child support are paid in the same month):
    - $100 for a family with one child
    - $200 for a family with two or more children
- Pass-Through for Child Support in Lieu of Cash Aid:
  - The customer may opt to receive the collected child support payments for a step/half-sibling of an eligible child in the AU in lieu of CalWORKs for the step/half-sibling (CPG 44-300.H). The full amount of child support allocated to the child is passed through to the customer and not retained by the State or County to repay cash aid. This child support does not count as income in the CalWORKs budget.
- Pass-Through Child Support for K1 and 3F Aid Codes:
  - When a family aided under the K1 or 3F aid code has a child support case open voluntarily, any child support collected on behalf of the aided children will be passed through to the AU and not retained by the State or County to reimburse CalWORKs aid. All support payments for K1 or 3F families must be exempt from consideration as income and resources for purposes of determining CalWORKs eligibility and grant amount. Any amount of support received by K1 or 3F families, including direct support payments, must not count when establishing eligibility or calculating the grant amount while the family is receiving aid.
- Arrearages for Child Turning 18 Years of Age
  - Any child support arrearages received on behalf of a child who has turned 18 years of age and who is being discontinued from the CalWORKs case due to age limits, are paid to the customer. Any arrearage payments received by the customer for the aged-out child are treated as unearned income for the CalWORKs budget. No disregard is allowed for these arrearages.
- Excess
  - The amount of child support remaining after current and prior aid is recouped and the disregard has been paid is considered excess payment and is sent to the customer. Excess payments are treated as unearned income for the CalWORKs budget.

Support Pass-through for Former Customers and K1 or 3F Families

Upon implementation of the full pass-through of arrears to former CalWORKs customers and current K1/3F families that have received CalWORKs under non-K1/3F aid codes referable to the LCSA in the past, any pass-through payments that cannot be delivered to a former CalWORKs recipient (the customer could not be found, a paper check made out to the customer is uncashed and expired, or there is no direct deposit account or electronic payment card on file) for a period of six months will be retained by the LCSA and used to recoup aid paid on behalf of the former customer.

A former CalWORKs customer or K1 or 3F family that has received CalWORKs under non-K1 or 3F aid codes referable to the LCSA in the past may make a claim for these pass-through payments within 12 months of the payment being sent to recoupment. The 12-month claim period begins after funds have been recouped to repay CalWORKs (after the initial 6-month delivery period has expired). This request must be made by the former CalWORKs customer or the K1 or 3F family and cannot be made by a third party. The County is not required to notify families of the outcome of their recouped child support claims. Former CalWORKs customer or K1 or 3F families will be referred to the LCSA for additional information.

Other Support Payments

Social Security or Railroad Retirement benefits of an absent parent, which are sent to the CP on behalf of the child(ren) who are aided, are counted as unearned income to the AU and are not subject to a determination of cooperation, or the appropriate child support disregard amount.

However, if a customer opts to exclude a step/half-sibling from the Maximum Aid Payment (under SB 380), the child's other support income will be excluded from the CalWORKs budget.

Direct Support Payments

The customer is responsible for turning in their direct child support payments to the LCSA and establishing a support account with them, unless exempt or granted good cause from cooperating with the LCSA. Until the customer establishes a support claim, any direct support payment must be treated as unearned income, applying the appropriate child support disregard amount. Once a collection is established, the direct support payment ends and is no longer counted against the CalWORKs budget.

Local Child Support Agency

The LCSA is responsible for customer service for child support inquires and for resolving issues regarding child/spousal support payments and disregard payments. Customers will be referred to the LCSA if they inquire about their disregard payment or child support case. Customer will be provided with the LCSA toll-free phone number: 1-866-901-3212.

Payment for Child Support for Child or Spouse Outside the Home

When the customer is making support payments for a child or spouse not in the home, no deduction is allowed from earned, unearned, or disability-based income when calculating the CalWORKs grant amount, even if this is a result of a court order.

Impacts:

CalFresh

Per Title 7 of the Code of Federal Regulations (7 CFR) Section 273.9(b)(2)(iii), child support payments received by a CalFresh household, including any CalWORKs disregards, are counted as unearned income when determining CalFresh eligibility and benefit levels. Therefore, any child support income, including arrears, that is passed through to a formerly or currently assisted CalWORKs family that is still receiving CalFresh must be considered when determining initial and ongoing CalFresh eligibility and in calculating the food benefit amount, if it can be reasonably anticipated. (CalFresh Program Guide [CFPG] 63-223.5).

Furthermore, per Manual of Policies and Procedures (MPP) 63-403.2, CalFresh rules and regulations apply to California Food Assistance Program (CFAP), unless otherwise stated. Therefore, per All County Letter (ACL) 07-31, ACL 12-25, and 7 CFR 273.9(b)(2)(iii), any reasonably anticipated child support income that is passed through to CFAP customers must be counted as unearned income for CFAP eligibility purposes and benefit calculation

Direct child support is excluded for CalFresh under the following instances:

- The child support cannot be reasonably anticipated (CFPG 63-282.3)
- The child support payment must be transferred to the District Attorney's office or other County agency to maintain CalWORKs eligibility, even when the money is not actually transferred. (CFPG 63-221-58)

Medi-Cal

Child support payments received on behalf of a child are not counted as income when determining eligibility for Modified Adjusted Gross Income (MAGI) Medi-Cal. Therefore, the new child support pass-through amounts implemented through AB 79 will not affect eligibility for MAGI Medi- Cal (Medi-cal Desk Aid 56 MAGI Income and Deduction Types).

Child support payments received are considered unearned income for Non-MAGI Medi-Cal, whether payments are voluntary or by court order (Medi-Cal Program Guide (MPG) 10.02.01B).

Refugee Cash Assistance (RCA) and Trafficking and Crime Victims Assistance Program (TCVAP)

The guidance provided in this letter also applies to RCA and TCVAP customers. For RCA, and TCVAP, MPP Sections 69-201.4 and 69-301 provide that CalWORKs regulations relating to financial eligibility and payments apply to RCA, and TCVAP unless specifically superseded by RCA, , and TCVAP regulations (MPP Section 69-206), which exempt specific income and resources from the income eligibility determination process. For TCVAP, MPP Section 70-105.1 provides that eligible TCVAP clients are entitled to benefits and services to the same extent as refugees as defined in MPP Sections 69-202.1 and .2.

Supplemental Security Income/State Supplementary Payment (SSI/SSP) and Cash Assistance Program for Immigrants (CAPI)

Child Support Arrearage Payments as Income:

- Child support arrearage payments are considered unearned income of the child in the month received for SSI/SSP and CAPI applicants and recipients. For SSI/SSP and CAPI purposes, support and alimony payments are considered unearned income of the child (Program Operations Manual System (POMS) SI 00810.015), whether voluntary or court-ordered (20 CFR Section § 416.1121).

Child Support Arrearage Payments as a Resource:

- Any unspent child support arrears will be considered a resource and count towards the resource limit in the month after receipt for SSI/SSP and CAPI customers per 20 CFR Section 416.1201(a) and 416.1207(d). If unused or not spent, the accumulated child support income may put the SSI/SSP or CAPI customer over the resource limit, making them ineligible for continued benefits in accordance with 20 CFR Section 416.1324.

Per SI 01110.100, resources are cash and any other personal property (including real property) that an individual or spouse:

- Owns
- Has the right, authority, or power to convert to cash (if not already cash); and
- Is not legally restricted from suing for their support and maintenance

Procedure:
CalWORKs Processing Guide 42-200.D1 - Child Support Payments

References:
AB 79, AB 207
MPP 12-400
EAS 82-500
ACL No. 18-82, 20-115, 23-93

Sunset Date:
This policy will be reviewed for continuance on or by August 31, 2028

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services